

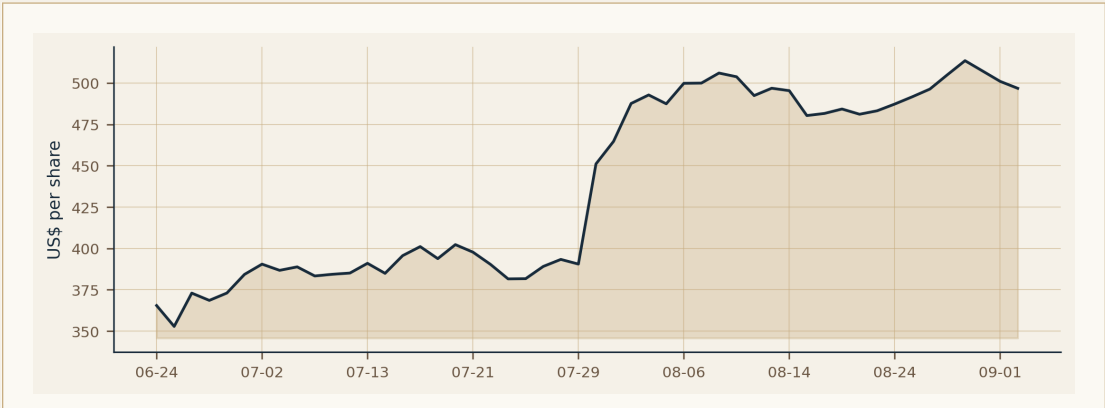
Microsoft

Microsoft Corporation

NASDAQ: MSFT · United States · Software & Cloud Infrastructure

US\$496.82

Close of trading, September 2, 2026 · -0.84% on the day



Daily closing price, June 24 – September 2, 2026. Source: StockAnalysis.com / S&P Global Market Intelligence.

Executive Summary

Business

Microsoft is a diversified software and cloud infrastructure company organized around three reporting segments: Productivity and Business Processes (Microsoft 365, LinkedIn, Dynamics), Intelligent Cloud (Azure, server products, enterprise services) and More Personal Computing (Windows, devices, Xbox, search advertising). **SOURCED** Its revenue engine rests on recurring commercial cloud and subscription contracts sold to enterprises, small businesses and consumers, supplemented by transactional licensing and hardware. **SOURCED** Geographic exposure is global, with the United States as the largest single market and no single customer representing a material concentration of revenue, per company disclosure. **SOURCED**

Financial Condition

Fiscal year 2026 (ended June 30, 2026) revenue was US\$331.8 billion, up 17.8% year-on-year, with operating income of US\$155.2 billion (46.8% margin) and net income of US\$133.7 billion (40.3% margin). **SOURCED** Operating cash flow reached US\$182.9 billion against capital expenditure of US\$115.9 billion, producing free cash flow of US\$67.0 billion, a lower free cash flow margin (20.2%) than the prior three fiscal years because of an unprecedented step-up in AI and datacenter capital spending. **CALCULATED** The balance sheet moved from a net cash position of US\$34.0 billion in fiscal 2025 to a net debt position of approximately US\$52.0 billion in fiscal 2026, the first net-debt year in the dataset examined. **CALCULATED**

Market Position

Principal competitors include Amazon (AWS) and Alphabet (Google Cloud) in cloud infrastructure, Salesforce, SAP and Workday in enterprise applications, Apple and Google in operating systems and devices, and Sony and Nintendo in gaming. **REASONED** In worldwide cloud infrastructure spending, Synergy Research Group placed Amazon at 28%, Microsoft Azure at 21% and Google Cloud at 14% of the market in the first quarter of 2026. **SOURCED** Microsoft's principal advantage is the breadth of its installed enterprise software base, which anchors a bundled cross-sell motion into Azure and Copilot; its principal weakness is that this advantage is being tested by open competition for AI-model access and by rising capital intensity that dilutes near-term free cash flow conversion. **REASONED**

Valuation

At the September 2, 2026 close, market capitalization was approximately US\$3.72 trillion and enterprise value approximately US\$3.77 trillion. **CALCULATED** The stock traded at a trailing price/earnings ratio of approximately 28.2x, a forward P/E of approximately 25.5x, EV/EBITDA of approximately 18.0x, and price/free cash flow of approximately 55x on fiscal 2026 free cash flow. **SOURCED / CALCULATED**

Investment Framework

ATTRACTIVE

Durable, high-margin recurring software revenue; Azure growth acceleration (41% in fiscal 2026); expanding operating margin despite heavy investment; near-zero absolute leverage even after the capex surge.

CONCERNING	Capital expenditure has grown faster than operating cash flow for two consecutive years, compressing free cash flow margin from roughly 30% to roughly 20%; the balance sheet has swung into a net debt position for the first time in the period studied.
MUST GO RIGHT	AI infrastructure investment must convert into monetized Azure and Copilot capacity at returns above the cost of capital, and capex growth must decelerate relative to revenue growth within the next two to three fiscal years.
COULD BREAK THE THESIS	A sustained gap between capital spending and incremental cloud revenue, a slowdown in enterprise IT budgets, or a durable loss of AI-workload share to Google Cloud or AWS.
PRICED INTO THE STOCK	The current multiple embeds continued double-digit revenue growth and a recovery in free cash flow margin toward, or above, historical levels once the current capital spending cycle matures. Reasoned, see Section B3.

Investment Profile

BUSINESS QUALITY	High — diversified, high-margin, recurring-revenue software franchise with structural switching costs.
FINANCIAL QUALITY	Strong but decelerating on a free-cash-flow basis; income-statement profitability continues to expand.
COMPETITIVE POSITION	Leading but contested — second in cloud infrastructure share, first in enterprise productivity software.
GROWTH PROFILE	High single-digit to high-teens revenue growth, concentrated in cloud and AI-related products.
BALANCE-SHEET RISK	Low in absolute terms, but the trend direction (net cash to net debt) is a data point worth monitoring.
VALUATION	Premium to the market and to its own five-year average on most multiples; embeds continued execution.
MARKET AND TECHNICAL PROFILE	Strong upward momentum since the July 2026 earnings report; trading above both the 50-day and 200-day moving averages.

A. About the Business

A1. Business Environment

Microsoft competes across several distinct but converging industries: enterprise productivity software, public cloud infrastructure and platform services, professional networking, operating systems, personal computing devices, video games, and internet search and advertising. **REASONED** The public cloud infrastructure market is large and still growing rapidly: global cloud infrastructure service spending reached approximately US\$129 billion in the first quarter of 2026 alone, up 35% year-on-year, with artificial intelligence workloads now representing approximately 19% of that spend, up from 8% in 2023. **SOURCED** The market is structurally concentrated, with three hyperscale providers — Amazon, Microsoft and Google — together controlling more than 60% of worldwide cloud infrastructure spend, a share that has been stable to slightly rising for several years because of the scale economics of datacenter construction, chip procurement and global network build-out. **SOURCED**

Enterprise software and productivity applications form a more mature, but still-growing, market in which value has migrated from perpetually licensed on-premises software toward subscription-based cloud services, a transition Microsoft has substantially completed for its core Office and server franchises. **REASONED** Personal computing (Windows licensing, PC-related devices) is a mature, largely low-growth to flat market tied to global PC unit shipments, while gaming and search advertising are separate, competitively distinct businesses bundled into the same reporting segment for historical reasons. **REASONED**

Taken together, the industry environment in which Microsoft operates can be described as structurally transforming: a mature enterprise software base is being overlaid with a rapidly growing, capital-intensive AI infrastructure layer. The cloud and AI segment of the business is best described as growing and consolidating around three scaled players; the productivity software segment is mature but still capturing share of IT wallet through the cloud transition; and the personal computing segment is mature to declining in unit terms. **REASONED**

A2. What Does the Company Do?

Microsoft sells three broad categories of product. First, productivity and collaboration software delivered primarily as a subscription (Microsoft 365 Commercial and Consumer, LinkedIn, Dynamics 365) to businesses of all sizes and to consumers. Second, cloud infrastructure and platform services (Azure compute, storage, networking, databases and AI services) sold on a consumption and committed-contract basis to enterprises, government bodies, software vendors and start-ups. Third, personal computing products (Windows licensing to device manufacturers and consumers, Surface devices, Xbox consoles and content, and Bing/search advertising). **SOURCED**

Revenue recognition differs by product: subscription revenue is recognized ratably over the contract term; consumption-based Azure revenue is recognized as capacity is used; device and licensing revenue is recognized largely at the point of sale or license transfer. **REASONED** The economically important flow of a dollar through the business can be described as: enterprise or consumer customer commits to a subscription or signs a cloud consumption contract → Microsoft provisions software access or cloud capacity, funded by heavy upfront capital expenditure on datacenters, networking and AI accelerators → revenue is recognized over the life of the contract, at gross margins in the high-60% range on a blended basis → operating costs (research and development, sales and marketing, and general administration) are deducted to produce operating income at a margin near 47% → free cash flow is what remains after capital expenditure, which has recently absorbed the majority of incremental operating cash flow → capital is returned to shareholders through dividends and buybacks, or retained to fund the AI infrastructure build-out. **REASONED**

Operating model: customer to capital allocation

CUSTOMER	Enterprises, SMBs, consumers, developers, government — global, no material single-customer concentration disclosed.
PRODUCT / SERVICE	Microsoft 365, Azure, LinkedIn, Dynamics 365, Windows, Xbox, Surface, Bing/advertising.
REVENUE	US\$331.8bn FY2026, 17.8% growth; commercial cloud revenue growing fastest.
COSTS	Cost of revenue (datacenter depreciation, cloud infrastructure, content, third-party royalties); R&D US\$35.6bn; sales, marketing and administration.
OPERATING PROFIT	US\$155.2bn, 46.8% margin, expanding via operating leverage.
CASH FLOW	Operating cash flow US\$182.9bn; capital expenditure US\$115.9bn; free cash flow US\$67.0bn.
CAPITAL ALLOCATION	US\$115.9bn capex (AI/datacenter buildout), US\$26.4bn dividends, US\$22.3bn buybacks in fiscal 2026.

Figures for fiscal year ended June 30, 2026. Source: company financial statements (Alpha Vantage / SEC-normalized data).

The most economically important parts of the model at present are, in order: Azure and AI infrastructure capacity (the primary growth driver and the primary consumer of capital), the Microsoft 365 commercial subscription base (the primary source of stable, high-margin recurring cash flow), and the capital allocation decision on how much of operating cash flow to reinvest in datacenter capacity versus return to shareholders. **REASONED**

A3. Business and Relationship Network

Microsoft's ecosystem includes semiconductor and hardware suppliers (Nvidia and AMD for AI accelerators, and its own custom silicon efforts), datacenter construction and energy partners, systems integrators and cloud solution provider partners that resell and implement Microsoft products, and independent software vendors that build on Azure. **REASONED** A significant, publicly disclosed strategic relationship exists with OpenAI, in which Microsoft has made substantial financial commitments and holds a minority economic interest, and through which Azure functions as a preferred cloud infrastructure provider for OpenAI's models; Microsoft in turn embeds OpenAI's models into Copilot and other products. **SOURCED** Distribution runs through direct enterprise sales, a large partner and reseller channel, cloud marketplaces, OEM device partnerships (for Windows), and consumer retail and app-store channels. **REASONED**

COMPANY	Microsoft Corporation
SEGMENTS	Productivity and Business Processes; Intelligent Cloud; More Personal Computing
KEY SUPPLIERS	Nvidia, AMD (AI accelerators); TSMC (via chip partners); datacenter construction and energy suppliers
KEY CUSTOMERS	Global enterprises, public sector, SMBs, consumers, independent software vendors
DISTRIBUTION	Direct enterprise sales force, partner/reseller channel, OEM device partners, cloud marketplace, retail
STRATEGIC PARTNERS / INVESTEEES	OpenAI (model access and minority economic interest)
SUBSIDIARIES / BRANDS	LinkedIn, GitHub, Activision Blizzard (gaming), Xbox, Surface, Bing, LinkedIn Learning

PRINCIPAL COMPETITORS Amazon, Alphabet/Google, Salesforce, Oracle, SAP, Apple

A4. Competition

Direct competitors differ by product line. In cloud infrastructure, Amazon Web Services and Google Cloud are the two other hyperscale providers competing for the same enterprise workloads and AI training/inference capacity. In productivity and collaboration software, Google Workspace is the closest direct substitute, with Salesforce, SAP, Workday and ServiceNow competing in adjacent enterprise application categories. In personal computing, Apple competes on operating systems and devices; in gaming, Sony and Nintendo are the direct hardware and content competitors following Microsoft's acquisition of Activision Blizzard. REASONED

COMPETITIVE COMPARISON — SELECTED PEERS

Company	Primary overlap with Microsoft	Target customer	Scale (approx.)	Key advantage	Key disadvantage
Amazon (AWS)	Cloud infrastructure	Enterprise, start-ups, government	Cloud infrastructure market leader, ~28% share	Largest installed cloud base, broadest service catalog	Weaker enterprise productivity software franchise
Alphabet (Google Cloud)	Cloud infrastructure, productivity software, AI models	Enterprise, developers, consumers	~14% cloud infrastructure share, fastest-growing hyperscaler	Leading AI research base (DeepMind/ Gemini), strong data and search assets	Smaller enterprise sales and channel footprint than Microsoft
Salesforce	Enterprise applications (CRM), AI agents for sales/service	Enterprise sales, service and marketing teams	Leading independent CRM vendor	Deep CRM domain specialization	Narrower platform breadth than Microsoft's stack
Oracle	Enterprise databases, applications, cloud infrastructure	Large enterprise, government	Smaller cloud infrastructure share, growing fast off a low base	Entrenched database and ERP relationships	Smaller cloud capacity scale than the big three hyperscalers
Apple	Operating systems, devices, services	Consumers, prosumers, enterprise mobility	Largest device franchise by revenue per unit	Hardware-software integration, brand loyalty	Minimal presence in enterprise cloud infrastructure

Cloud market share figures per Synergy Research Group, Q1 2026, as reported by Statista. Company scale descriptions are qualitative and reasoned from public disclosure; they are not normalized on a single financial metric.

A5. Competitive Differences

Advantages: an installed base of hundreds of millions of Microsoft 365 seats creates high switching costs and a natural cross-sell channel into Azure and Copilot; scale economics in datacenter procurement and chip access; a diversified revenue base that does not depend on a single product; and a balance sheet that, even after the recent capex-driven swing to net debt, still supports investment-grade access to capital at low cost. REASONED

Disadvantages: exposure to a capital-intensive build cycle whose payback period is not yet demonstrated in reported free cash flow; dependence on external AI model relationships (principally OpenAI) whose commercial terms and competitive positioning could change; and a mature Windows/device franchise that contributes comparatively little incremental growth.

REASONED

The switching costs embedded in the Microsoft 365 and Azure ecosystem, combined with scale economics in infrastructure, support a moat assessment of **Strong**. REASONED This is judged to be substantially structural (switching costs, scale, entrenched enterprise relationships) rather than temporary, though the current premium on AI-related growth is a more cyclical, less durable component of the market's assessment. REASONED

A6. Industry Trend

Public cloud infrastructure spending grew 35% year-on-year in the first quarter of 2026 to approximately US\$129 billion, with AI workloads accounting for an increasing share of that growth. SOURCED Enterprise software spending overall continues to grow at a more moderate pace as customers substitute AI-enabled subscription tiers for headcount-linked productivity spending, a trend Microsoft is attempting to capture through Copilot pricing. REASONED The industry can be characterized as growing and consolidating in cloud infrastructure, and structurally transforming in productivity software as AI features are layered onto existing subscriptions. REASONED A reversal of the current trend would most likely be triggered by a slowdown in enterprise capital spending on AI (for example, if realized returns on AI deployments disappoint), a macroeconomic contraction that reduces IT budgets broadly, or a technological shift that reduces the compute intensity (and therefore infrastructure spend) required per unit of AI output. REASONED

A7. Management

Satya Nadella has served as Chief Executive Officer since February 2014 and is credited with leading the company's shift toward cloud computing and, more recently, artificial intelligence; he previously led Microsoft's server and cloud business. SOURCED Amy Hood has served as Chief Financial Officer since 2013, prior to which she held finance leadership roles within Microsoft's business divisions. SOURCED Both executives signed the company's fiscal 2026 Form 10-K, filed with the U.S. Securities and Exchange Commission. SOURCED

On capital allocation, management has directed the substantial majority of incremental operating cash flow toward capital expenditure (US\$115.9 billion in fiscal 2026) rather than buybacks or dividend growth, while still paying US\$26.4 billion in dividends and repurchasing US\$22.3 billion of stock during the year. CALCULATED Institutional ownership stood at approximately 75.9% of shares outstanding and insider ownership at approximately 0.09%, per the company overview data used in this report. SOURCED This capital allocation pattern is consistent with a management team prioritizing long-duration AI infrastructure investment over near-term capital return, a stance that shareholders will only be able to fully evaluate once the AI capital expenditure cycle matures and its incremental returns become visible in reported financials.

REASONED

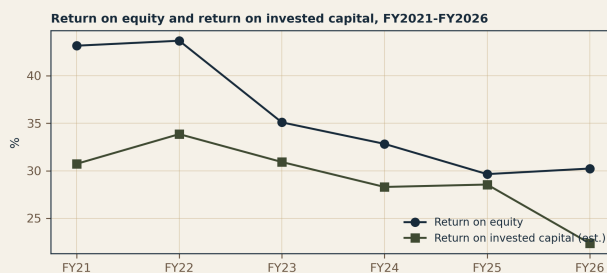
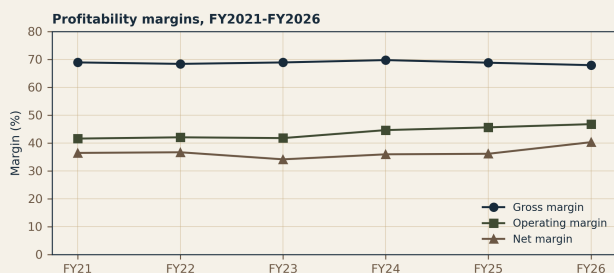
B. Evaluation

B1. Financial and Operating Metrics

PROFITABILITY AND GROWTH, FY2021–FY2026 (FISCAL YEAR ENDED JUNE 30)

Metric	FY21	FY22	FY23	FY24	FY25	FY26
Revenue growth	n/a	18.0%	6.9%	15.7%	14.9%	17.8%
Gross margin	68.9%	68.4%	68.9%	69.8%	68.8%	67.9%
Operating margin	41.6%	42.1%	41.8%	44.6%	45.6%	46.8%
Net margin	36.5%	36.7%	34.2%	36.0%	36.2%	40.3%
Return on equity	43.2%	43.7%	35.1%	32.8%	29.6%	30.2%
Return on invested capital (est.)	30.7%	33.9%	30.9%	28.3%	28.6%	22.4%

All figures calculated from company-reported income statement and balance sheet data (Alpha Vantage / SEC-normalized). Return on invested capital estimated as after-tax operating income divided by average of debt plus equity less cash; treated as a calculated approximation, not a GAAP figure.



Source: company financial statements; return on invested capital is an analyst estimate (see footnote above).

Gross margin has drifted lower since fiscal 2024 (69.8% to 67.9%) as AI and cloud infrastructure depreciation flows through cost of revenue, while operating margin has nonetheless expanded (44.6% to 46.8%) because revenue growth has outpaced growth in research and development and administrative spending. **CALCULATED** Net margin expanded sharply in fiscal 2026 to 40.3% from 36.2%, a jump larger than the operating margin improvement alone would suggest, indicating a meaningful contribution from items below the operating line (for example, non-operating gains, equity-method income, or a lower effective tax rate); the precise driver is not separately itemized in the data available for this report and is stated as Not Retrieved rather than assumed. **REASONED / NOT RETRIEVED**

Return on equity and estimated return on invested capital have both declined over the period even as absolute profit has grown, because the denominator (equity and invested capital) has grown faster than after-tax profit — a direct consequence of heavy capital reinvestment and a rapidly growing equity base. This is a capital-intensity effect, not a sign of deteriorating unit economics. **REASONED**

B2. Risks

STRUCTURED RISK REGISTER

Category	Risk	Probability × Impact (qualitative)
Financial	Capital expenditure continues to outpace operating cash flow growth, compressing free cash flow further and requiring additional debt issuance.	Medium-High
Competitive	Loss of AI-workload share to Google Cloud (currently the fastest-growing hyperscaler) or AWS.	Medium
Technological	A shift to more compute-efficient AI models could reduce the infrastructure spending per unit of AI output industry-wide, altering the capex-to-revenue relationship this report analyzes.	Medium
Business / Concentration	Commercial dependence on the OpenAI relationship for a portion of AI product capability and cloud demand.	Medium
Regulatory	Antitrust scrutiny of bundling practices in Europe and the United States; the EU General Court's 2026 ruling on the Opera/Edge case illustrates ongoing regulatory engagement.	Low-Medium
Macro	A slowdown in enterprise IT and capital budgets during a broader economic downturn.	Medium
Valuation	Multiple compression if realized growth or margin recovery falls short of the optimistic assumptions embedded in the current share price (see Section B3).	Medium-High

Regulatory item sourced to Reuters coverage of the EU court ruling, September 2, 2026 (see Sources). All probability × impact assessments are analyst judgments (Reasoned), not sourced figures.

The three risks judged most capable of permanently impairing shareholder value are: a durable disconnect between AI capital expenditure and monetized revenue that leaves free cash flow structurally depressed; a shift in enterprise AI workloads away from Azure toward a competing hyperscaler; and a valuation reset driven by disappointment relative to the optimistic growth and margin-recovery assumptions currently embedded in the share price. **REASONED**

B3. Valuation

VALUATION MULTIPLES AT THE SEPTEMBER 2, 2026 CLOSE

Multiple	Value
Trailing P/E	28.2x
Forward P/E	25.5x
PEG ratio	1.64x
EV/Revenue (TTM)	11.2x
EV/EBITDA (TTM)	18.0x
Price/Book	8.5x
Price/FCF (FY2026)	~55x
Dividend yield	0.73%

Source: Alpha Vantage company overview data, as of the September 2, 2026 close, cross-checked against StockAnalysis.com (trailing P/E 27.9x, forward P/E 25.4x, materially consistent). Price/FCF calculated by the analyst using FY2026 free cash flow of US\$67.0 billion and market capitalization of US\$3.72 trillion.

Microsoft trades at a premium to the broad market on nearly every multiple, a premium that has been broadly stable to expanding as the market has re-rated durable, profitable AI infrastructure exposure since the July 2026 earnings report. **REASONED** Because free cash flow has been temporarily depressed by capital expenditure, the price/free cash flow multiple of approximately 55x is not directly comparable to the company's own pre-2025 history, when the multiple was structurally lower on a much higher free cash flow base; investors reading this multiple in isolation without adjusting for the capex cycle would overstate how expensive the stock is on a normalized basis. **REASONED**

Discounted cash flow framework

A simplified discounted cash flow model was built using explicit five-year forecasts and a Gordon-growth terminal value, under three scenarios. All figures in this subsection are analyst estimates and assumptions, not sourced data. **REASONED / ESTIMATED**

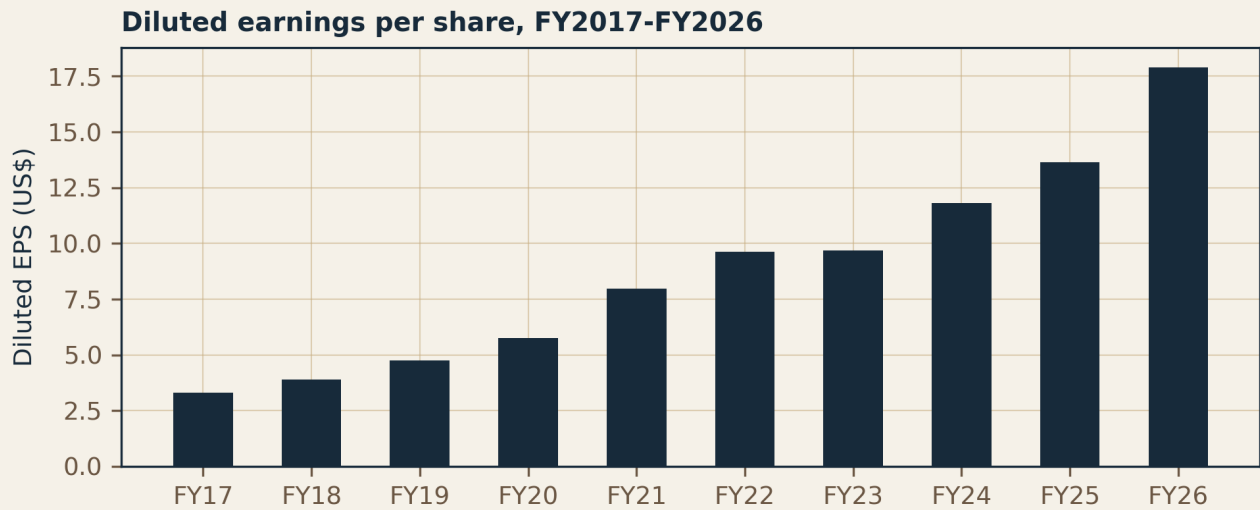
DCF SCENARIO ASSUMPTIONS AND IMPLIED PER-SHARE VALUE

Scenario	Revenue growth (5-yr avg.)	FCF margin path	WACC	Terminal growth	Implied value / share
Bear	~7%	Stays compressed, 18-21%	10.0%	2.5%	~US\$150
Base	~12%	Recovers gradually to 28%	9.0%	3.0%	~US\$300
Bull	~15%	Recovers to 33%+	8.0%	3.5%	~US\$545

Model: five explicit forecast years from FY2027, terminal value capitalized at (WACC minus terminal growth), less estimated net debt, divided by shares outstanding of 7.43 billion. This is an illustrative valuation range, not a price target or recommendation.

The current share price of US\$496.82 sits between the base and bull scenarios in this framework, indicating that the market is pricing in an outcome closer to the optimistic end of plausible AI-driven growth and margin-recovery paths rather than a conservative base case. Whether that is justified depends on capital expenditure decelerating relative to revenue growth over the next two to three fiscal years and on AI infrastructure investment converting into monetized Azure and Copilot revenue at returns above the cost of capital — neither of which can yet be confirmed in reported financials. **REASONED** On balance, the expectations embedded in the current price are assessed as **Optimistic** rather than Conservative or merely Reasonable. **REASONED**

B4. Capital Market and Stock Analysis



Source: company-reported diluted EPS, fiscal years 2017-2026 (Alpha Vantage / SEC-normalized data).

PRICE HISTORY AND TRADING STATISTICS

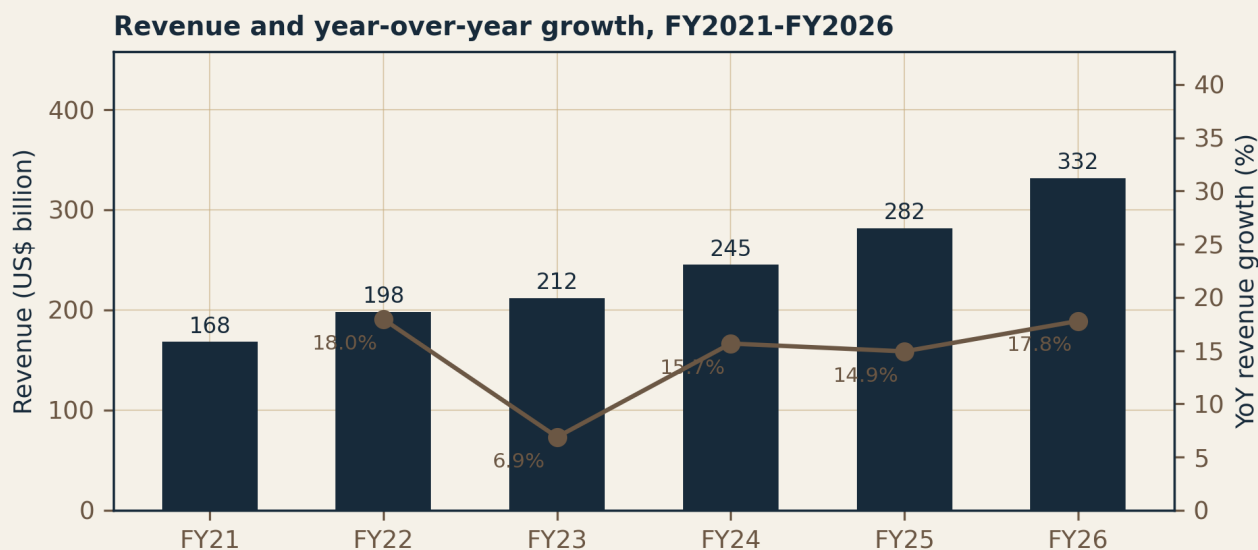
Metric	Value
Close, September 2, 2026	US\$496.82
52-week range	US\$348.54 – US\$553.72
50-day moving average	US\$433.21
200-day moving average	US\$431.17
Beta (5-year, vs. broad market)	1.10
Analyst consensus (55 analysts)	Strong Buy
Analyst rating breakdown	14 Strong Buy / 38 Buy / 3 Hold / 0 Sell
12-month analyst price target	US\$569–571

Source: Alpha Vantage company overview and StockAnalysis.com, both as of September 2, 2026.

The stock is trading above both its 50-day and 200-day moving averages, and both short and long moving averages are closely aligned near US\$432, indicating the sharp rally since late July 2026 (the shares rose from approximately US\$390 before the July 29, 2026 earnings release to a post-earnings peak above US\$513 on August 28, 2026) has occurred on top of a relatively flat prior six-month trend. **CALCULATED FROM PRICE HISTORY** The July 29-30, 2026 gap of more than 15% in a single session corresponds to the fiscal fourth-quarter and full-year earnings release, in which reported EPS of US\$4.74 beat the consensus estimate of US\$4.21 by approximately 12.6%. **SOURCED** A beta of approximately 1.10 indicates the stock has historically moved slightly more than the broad market, consistent with a large-capitalization growth stock with meaningful cyclical and rate-sensitivity exposure through its high valuation multiple. **REASONED** This technical strength should be read separately from the fundamental valuation analysis in Section B3: momentum and fundamentals currently point in the same direction, but the technical picture does not itself validate the growth and margin assumptions the valuation requires. **REASONED**

C. Financial Statements

C1. Income Statement



Source: company income statements, fiscal years 2021-2026 (Alpha Vantage / SEC-normalized data).

INCOME STATEMENT SUMMARY, FY2021–FY2026 (US\$ MILLION, FISCAL YEAR ENDED JUNE 30)

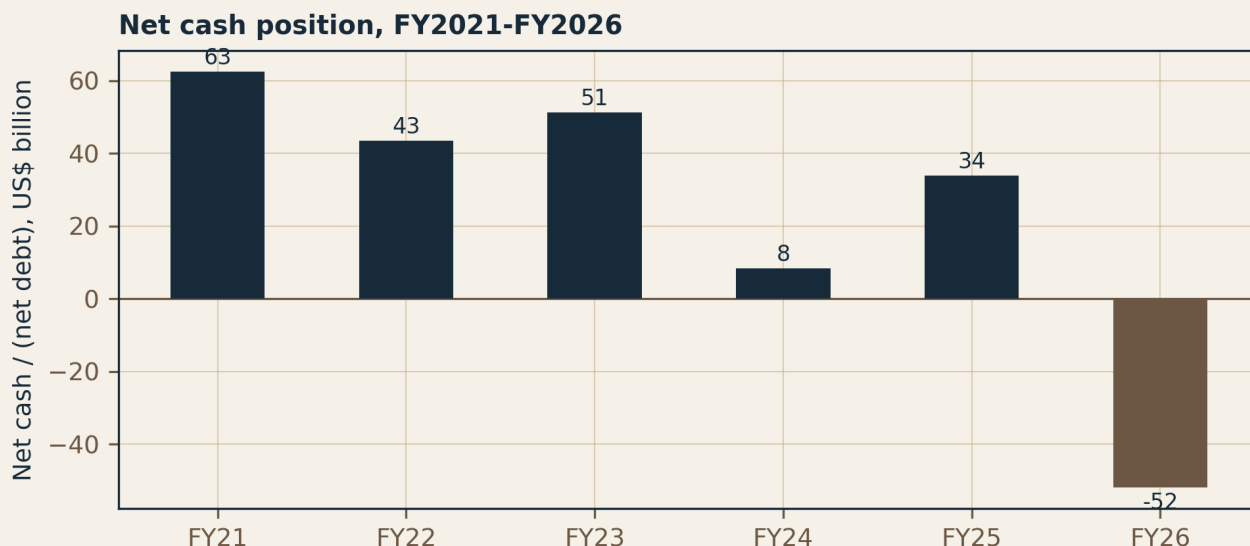
Line item	FY21	FY22	FY23	FY24	FY25	FY26
Revenue	168,088	198,270	211,915	245,122	281,724	331,839
Gross profit	115,856	135,620	146,052	171,008	193,893	225,465
Operating income	69,916	83,383	88,523	109,433	128,528	155,237
EBITDA	85,134	100,239	105,140	133,009	160,165	207,519
Net income	61,271	72,738	72,361	88,136	101,832	133,749
Diluted EPS (US\$)	7.97	9.64	9.69	11.81	13.64	17.89
Research & development	20,716	24,512	27,195	29,510	32,488	35,562
Income tax expense	9,831	10,978	16,950	19,651	21,795	32,185

Reported figures, normalized to GAAP taxonomy by the data provider (Alpha Vantage) from SEC filings. Selling, general and administrative expense is not shown as a standalone reliable figure because the provider's field for this company appears to isolate only a subset of that spend; it is stated here as Not Retrieved in the standalone form required for full SG&A trend analysis rather than presented as an unreliable estimate.

Revenue growth accelerated in fiscal 2026 to 17.8% from 14.9% in fiscal 2025, driven primarily by Intelligent Cloud (up 30% for the year, with Azure up 41%) and continued double-digit growth in Productivity and Business Processes (up 16%), partly offset by softness in More Personal Computing linked to the Xbox/gaming business. **SOURCED** Growth over this period has come predominantly from volume and mix (cloud consumption growth and a shift toward higher-value AI-enabled subscription tiers) rather than from price increases or acquisitions, based on the composition of segment growth commentary in company disclosures; the June 2026 fiscal year included no financial-statement-moving acquisition on the scale of the 2023 Activision Blizzard transaction. **REASONED** Operating leverage is positive: operating income has grown

faster than revenue in four of the last five fiscal years, and operating margin has expanded from 41.6% to 46.8% over the period, even as gross margin has drifted slightly lower on rising cloud infrastructure depreciation. **CALCULATED**

C2. Balance Sheet



Source: company balance sheets, fiscal years 2021-2026 (Alpha Vantage / SEC-normalized data). Net cash defined as cash and short-term investments less total debt (including finance lease obligations, as classified by the data provider).

BALANCE SHEET SUMMARY, FY2021–FY2026 (US\$ MILLION, FISCAL YEAR ENDED JUNE 30)

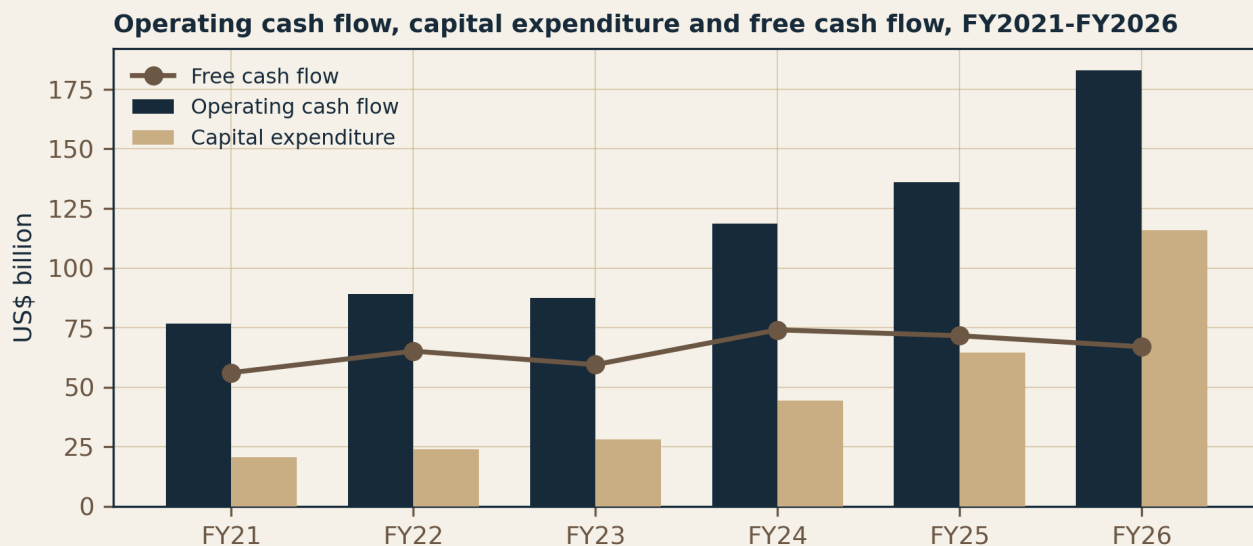
Line item	FY21	FY22	FY23	FY24	FY25	FY26
Total assets	333,779	364,840	411,976	512,163	619,003	758,376
Cash & short-term investments	130,334	104,757	111,262	75,531	94,555	76,843
Goodwill	49,711	67,524	67,886	119,220	119,509	119,651
Total debt (incl. lease obligations)	67,775	61,270	59,965	67,127	60,588	128,808
Total liabilities	191,791	198,298	205,753	243,686	275,524	315,989
Shareholders' equity	141,988	166,542	206,223	268,477	343,479	442,387
Net cash / (net debt)	62,559	43,487	51,297	8,404	33,967	(51,965)

Reported figures normalized to GAAP taxonomy by the data provider from SEC filings. "Total debt" as classified by the provider includes short-term debt, long-term debt and capital/finance lease obligations; it is not directly comparable to a narrower "financial debt only" definition some data providers use.

The balance sheet's most significant recent development is the swing from a net cash position of US\$34.0 billion at the end of fiscal 2025 to a net debt position of approximately US\$52.0 billion at the end of fiscal 2026, driven by total debt roughly doubling (from US\$60.6 billion to US\$128.8 billion) to help fund the capital expenditure increase, while cash and short-term investments fell. **CALCULATED** In absolute terms, leverage remains low: net debt of US\$52.0 billion equates to roughly 0.25x fiscal 2026 EBITDA, a level that would be considered conservative for almost any industrial or software company; the item is flagged not because absolute leverage is high, but because the direction of change is a meaningful data point for monitoring going forward. **CALCULATED** Goodwill has grown substantially since fiscal 2023 (from US\$67.9 billion to US\$119.7 billion), reflecting the 2023 Activision Blizzard acquisition; at approximately 15.8% of total assets in fiscal 2026,

goodwill concentration is not viewed as unusual for a company of this acquisition history, though any future impairment would be a swing factor for reported net income. **CALCULATED**

C3. Cash Flow Statement



Source: company cash flow statements, fiscal years 2021-2026 (Alpha Vantage / SEC-normalized data).

CASH FLOW SUMMARY, FY2021–FY2026 (US\$ MILLION, FISCAL YEAR ENDED JUNE 30)

Line item	FY21	FY22	FY23	FY24	FY25	FY26
Operating cash flow	76,740	89,035	87,582	118,548	136,162	182,935
Capital expenditure	20,622	23,886	28,107	44,477	64,551	115,948
Free cash flow	56,118	65,149	59,475	74,071	71,611	66,987
Free cash flow margin	33.4%	32.9%	28.1%	30.2%	25.4%	20.2%
Dividends paid	16,521	18,135	19,800	21,771	24,082	26,445
Share repurchases	27,385	32,696	22,245	17,254	18,420	22,271

Free cash flow calculated by the analyst as operating cash flow less capital expenditure; free cash flow margin calculated as free cash flow divided by revenue. Source data: company cash flow statements (Alpha Vantage / SEC-normalized).

Free cash flow margin has fallen from a peak of 33.4% in fiscal 2021 to 20.2% in fiscal 2026, with the steepest declines occurring in the last two fiscal years as capital expenditure grew 45% and then 80% year-on-year, respectively, far outpacing operating cash flow growth of 15% and 34%. **CALCULATED** This is the clearest example in this report of net income diverging from cash generation: net income grew 31.3% in fiscal 2026 while free cash flow actually declined 6.5% year-on-year, because operating cash flow growth, while strong in absolute terms, was not sufficient to keep pace with the capital expenditure increase. **CALCULATED** Despite the free cash flow compression, the company continued to raise its dividend and fund buybacks, financed by a combination of operating cash flow and increased debt issuance rather than by drawing down the cash balance materially, consistent with the balance sheet analysis in Section C2. **REASONED**

C4. Forecasting and Projections

Historical revenue growth has averaged approximately 14.7% per year over fiscal 2021-2026, with growth in the most recent two years increasingly concentrated in the Intelligent Cloud segment (30% growth in fiscal 2026) and, within it, Azure specifically (41% growth). **CALCULATED / SOURCED** A reasonable base-case forecast assumes cloud growth decelerates gradually from the low-40s percentage range toward the high teens over a five-year horizon as the AI infrastructure base scales and comparisons become more difficult, while Productivity and Business Processes continues to grow at a low-double-digit rate and More Personal Computing remains roughly flat to slightly declining. **REASONED / ESTIMATED**

On margins, gross margin is assumed to stabilize in the high-60s percentage range as AI infrastructure depreciation is offset by improving utilization of that infrastructure over time, while operating margin is assumed to continue expanding modestly on operating leverage, consistent with the trend documented in Section C1. **REASONED / ESTIMATED** On capital intensity, the central planning assumption of this report is that capital expenditure growth decelerates materially relative to revenue growth from fiscal 2027 onward, allowing free cash flow margin to recover gradually from its fiscal 2026 trough of 20.2% back toward the high-20s percentage range by around fiscal 2031; this assumption drives the base-case scenario in the discounted cash flow analysis in Section B3, and is explicitly not guaranteed by anything in the historical data, which as of fiscal 2026 still shows capex growing faster than revenue. **REASONED / ESTIMATED**

Scenario framing (see Section B3 for the associated DCF outputs): the **bull case** assumes AI infrastructure investment converts into cloud revenue faster than expected, allowing both above-trend revenue growth and faster margin recovery; the **base case** assumes a gradual, multi-year normalization consistent with management's historical execution; the **bear case** assumes capital intensity remains structurally elevated, for example if AI compute costs do not fall as quickly as expected or if competitive intensity forces continued heavy investment without proportional revenue capture. **REASONED / ESTIMATED**

C5. Discounted Cash Flow Model

Model structure: five explicit annual free cash flow forecasts (fiscal 2027 through fiscal 2031) are discounted at the weighted average cost of capital, together with a Gordon-growth terminal value applied to the final forecast year, and are reduced by estimated net debt to derive an equity value, which is divided by 7.43 billion diluted shares outstanding. **REASONED / ESTIMATED**

DCF ASSUMPTION DETAIL BY SCENARIO

Assumption	Bear	Base	Bull
Revenue assumptions	Deceleration to 5% growth by year 5	Deceleration to 9% growth by year 5	Deceleration to 11% growth by year 5
Margin assumptions (FCF margin, year 5)	21%	28%	33%
Tax / capex / working capital	Embedded within the FCF margin path rather than modeled as separate line items, given the level of estimation already inherent in a five-year forecast for a company of this complexity		
WACC	10.0%	9.0%	8.0%
Terminal growth	2.5%	3.0%	3.5%
Net debt (held constant)	~US\$52 billion (fiscal 2026 actual)		
Implied equity value / share	~US\$150	~US\$300	~US\$545

This is an illustrative valuation range built for this report using simplified assumptions; it is not a price target, is not a recommendation, and should not be relied upon as a precise intrinsic value estimate. WACC estimated from a beta of 1.10, an assumed equity risk premium of approximately 5%, and a risk-free rate of approximately 4.2%; these inputs are analyst assumptions, not sourced market data.

The resulting range of roughly US\$150 to US\$545 per share is wide, which is itself an important finding: a company undergoing a step-change in capital intensity is inherently harder to value precisely with a discounted cash flow approach than a company with a stable capital structure, because small changes in the assumed pace of margin recovery compound materially over a five-year explicit period and an infinite terminal value. **REASONED** The September 2, 2026 closing price of US\$496.82 falls between the base and bull scenarios, which is the basis for describing the market's embedded expectations as Optimistic in Section B3. **REASONED**

C6. Leveraged Buyout Model

A leveraged buyout analysis is not presented for this company. At a market capitalization of approximately US\$3.72 trillion, Microsoft is several multiples larger than any leveraged buyout completed in the private equity industry's history, and its current low absolute leverage together with heavy ongoing capital expenditure commitments make a debt-funded going-private transaction structurally implausible under any realistic financing market. **REASONED** This section is omitted as not economically meaningful for this company, consistent with the instruction to include only analyses that are meaningful for the company under review.

D. Investment Thesis

Bull Case

Azure and AI infrastructure demand continues to grow at or above the fiscal 2026 pace (Azure up 41%) for several more years, capital expenditure growth decelerates as datacenter capacity built over the past two years is monetized, and free cash flow margin recovers toward, or above, its historical high-20s to low-30s percentage range. **REASONED** Under this path, continued market share gains against AWS and Google Cloud, further Copilot monetization across the Microsoft 365 installed base, and a stable-to-expanding valuation multiple would support a materially higher share price than today's, consistent with the bull-case DCF output of approximately US\$545 per share in Section B3 and C5. **REASONED**

Bear Case

Capital expenditure continues to grow faster than revenue for an extended period, either because AI compute costs do not fall as fast as expected or because competitive dynamics force continued heavy investment without proportional monetization; free cash flow margin remains depressed near, or below, its fiscal 2026 level of 20.2%; and the balance sheet's swing to a net debt position becomes a more pronounced and less easily reversed trend. **REASONED** Under this path, the valuation multiple would likely compress meaningfully from current levels, consistent with the bear-case DCF output of approximately US\$150 per share. **REASONED**

Base Case

Revenue growth decelerates gradually from the high teens toward low double digits over the next several fiscal years as the cloud and AI business matures; capital expenditure growth slows relative to revenue growth beginning in fiscal 2027 or fiscal 2028; free cash flow margin recovers gradually but does not fully return to pre-2025 levels within the explicit forecast horizon; and the company continues its current balanced capital allocation between infrastructure investment, dividends and buybacks. **REASONED**

Catalysts

Quarterly earnings releases, in which segment-level Azure growth and capital expenditure guidance will be the two figures most likely to move the shares (as demonstrated by the more than 15% single-session move following the July 29, 2026 release); the transition to more granular Azure-specific revenue disclosure and the shift to two reporting segments announced for fiscal 2027, which should improve investors' ability to assess cloud monetization directly; further developments in the OpenAI commercial relationship; and any material change in the pace of capital expenditure guidance. **SOURCED / REASONED**

Things to Monitor

MONITORING LIST

Metric or event	Why it matters	Positive signal	Negative signal
Capital expenditure as a percentage of revenue	Directly drives free cash flow margin, the metric most compressed over the past two years	Ratio declines toward, or below, the fiscal 2025 level (22.9%)	Ratio remains near, or above, the fiscal 2026 level (34.9%)

Metric or event	Why it matters	Positive signal	Negative signal
Azure revenue growth (newly disclosed in dollar terms from fiscal 2027)	Primary growth engine and primary consumer of capital	Growth sustains above 30%	Growth decelerates sharply toward the high teens or below
Net debt / net cash position	Indicator of how the AI capex cycle is being financed	Net debt stabilizes or reverses toward net cash	Net debt continues to widen materially
Free cash flow margin	Bridges reported earnings growth to actual cash generation and capital return capacity	Recovers toward the high-20s percentage range	Remains stuck near, or below, 20%
Analyst consensus revisions	Reflects whether Wall Street's optimistic embedded expectations (Section B3) are holding	Estimates revised up alongside price target increases	Estimates or price targets are cut following a results miss

E. Final Investment Framework

BUSINESS QUALITY	High. Diversified, high-margin, subscription and consumption-based revenue with substantial switching costs across its enterprise installed base.
FINANCIAL QUALITY	Strong on the income statement, with margin and earnings expansion; weaker on a free-cash-flow basis, where the fiscal 2026 capital expenditure surge has cut free cash flow margin by roughly a third from its recent peak.
COMPETITIVE POSITION	Leading in enterprise productivity software; a strong but contested second (behind AWS) in cloud infrastructure, competing against the fastest-growing hyperscaler, Google Cloud.
MANAGEMENT	Long-tenured leadership (CEO since 2014, CFO since 2013) with a demonstrated track record of successfully redirecting the company toward cloud, and more recently AI, though the current capital allocation stance has not yet been validated by realized returns.
INDUSTRY	Structurally transforming; a large, growing, increasingly AI-driven cloud infrastructure market layered on top of a mature enterprise software base.
VALUATION	Premium to the market and to the company's recent history on most multiples; the discounted cash flow analysis in Sections B3 and C5 suggests the current price embeds optimistic, above-base-case assumptions about the pace of AI monetization and free cash flow margin recovery.
TECHNICAL AND MARKET STRUCTURE	Strong recent momentum following the July 2026 earnings release; trading above both the 50-day and 200-day moving averages, with a Strong Buy analyst consensus.
PRINCIPAL RISK	A durable disconnect between AI-related capital expenditure and monetized cloud revenue that keeps free cash flow structurally depressed.
PRINCIPAL CATALYST	Continued Azure growth at or above the fiscal 2026 pace, combined with a deceleration in capital expenditure growth relative to revenue.
KEY VARIABLE	The trajectory of free cash flow margin, which links reported earnings growth to actual cash generation and therefore to the sustainability of the current valuation.
THESIS INVALIDATION	The investment thesis would become materially weaker if capital expenditure continues to grow faster than revenue for two or more additional fiscal years, if Azure growth decelerates below the mid-20s percentage range while capital expenditure remains elevated, or if the net debt position widens substantially further without a corresponding acceleration in free cash flow.

F. Data Table

STANDARDIZED COMPANY SNAPSHOT

Category	Metric	Current (FY26 / Sep-26)	Prior Year (FY25)	5-Year Trend
Market	Market capitalization	~US\$3.72tn	n/a	Rising
Market	Enterprise value	~US\$3.77tn	n/a	Rising
Market	Share price (close)	US\$496.82	n/a	Rising
Growth	Revenue growth	17.8%	14.9%	Accelerating
Profitability	Gross margin	67.9%	68.8%	Gently declining
Profitability	Operating margin	46.8%	45.6%	Expanding
Profitability	Net margin	40.3%	36.2%	Expanding
Profitability	Return on equity	30.2%	29.6%	Declining since FY21
Profitability	Return on invested capital (est.)	22.4%	28.6%	Declining since FY22
Cash Flow	Operating cash flow	US\$182.9bn	US\$136.2bn	Rising
Cash Flow	Free cash flow	US\$67.0bn	US\$71.6bn	Declining since FY24
Leverage	Net debt / EBITDA	0.25x	Net cash	Swung to net debt in FY26
Valuation	P/E (trailing)	28.2x	n/a	n/a
Valuation	EV/EBITDA	18.0x	n/a	n/a
Valuation	P/FCF	~55x	n/a	Rising as FCF margin fell
Market	Beta	1.10	n/a	n/a
Market	52-week range	US\$348.54–553.72	n/a	n/a

Sources: Alpha Vantage company overview and normalized financial statements; StockAnalysis.com; calculations by the analyst as noted throughout this report.

This report has been prepared for personal research purposes only and does not constitute investment advice, financial advice, or a recommendation to buy, sell, or hold any security. The information contained herein has been compiled with the assistance of artificial intelligence and is based on publicly available sources believed to be reliable, but its accuracy and completeness are not guaranteed. Past performance is not indicative of future results. Investors should conduct their own due diligence and consult with a qualified financial professional before making any investment decisions.

G. Sources and Methodology

Primary Sources

U.S. Securities and Exchange Commission / Microsoft Corporation. Form 10-K for the fiscal year ended June 30, 2026, filed July 2026. <https://www.sec.gov/Archives/edgar/data/0000789019/000119312526323660/msft-20260630.htm> — used for segment structure, business description, executive certification and fiscal year 2026 results confirmation.

Microsoft Corporation Investor Relations. Fiscal 2026 fourth-quarter and full-year earnings release and segment revenue disclosures. <https://www.microsoft.com/en-us/investor/earnings/fy-2026-q4/press-release-webcast> — used for segment growth rates (Intelligent Cloud, Azure, Productivity and Business Processes, More Personal Computing).

Microsoft Corporation. Investor Relations SEC filings index. <https://www.microsoft.com/en-us/investor/sec-filings> — used to confirm filing status and management certification.

Secondary Sources

StockAnalysis.com. Microsoft (MSFT) stock overview, price history and statistics pages, accessed September 2, 2026. <https://stockanalysis.com/stocks/msft/> and <https://stockanalysis.com/stocks/msft/history/> — used for current price, 52-week range, analyst consensus and daily price history, sourced by StockAnalysis.com to S&P Global Market Intelligence.

CNBC. "Microsoft to start disclosing Azure quarterly revenue as company consolidates business units," September 2, 2026. <https://www.cnn.com/2026/09/02/microsoft-to-disclose-azure-revenue-as-part-of-segment-changes.html> — used for the fiscal 2027 segment reporting change.

Reuters. "EU court rejects Opera challenge against EU exemption of Microsoft's Edge from DMA rules," September 2, 2026. <https://www.reuters.com/world/eu-court-rejects-opera-challenge-against-eu-exemption-microsofts-edge-dma-rules-2026-09-02/> — used for the regulatory risk item in Section B2.

Statista, citing Synergy Research Group. "Worldwide market share of leading cloud infrastructure service providers," Q1 2026 data. <https://www.statista.com/chart/18819/worldwide-market-share-of-leading-cloud-infrastructure-service-providers/> — used for cloud infrastructure market share figures in Sections A1 and A4.

Market Data

Alpha Vantage. Company overview, income statement, balance sheet, cash flow statement, annual and quarterly earnings, and dividend history for MSFT, retrieved September 2, 2026, normalized from SEC filings. <https://www.alphavantage.co> — used throughout Sections B, C and F for financial statement data, valuation multiples and dividend history.

Calculations

Analyst calculations (Arthur Faugeron). Free cash flow, free cash flow margin, net cash/net debt, return on equity, estimated return on invested capital, and the discounted cash flow scenario model in Sections B3 and C5 were calculated or estimated by the analyst from the primary and market data sources listed above; these are explicitly labeled as Calculated, Reasoned or Estimated throughout the report and should not be read as company-reported figures.